

Similarly, the Indian Corporate Governance Scorecard 2022 by proxy advisory firm IiAS found that the median score of BSE 100 firms fell to 61 in 2022 from 62 in 2021. The maximum score, however, rose to 82 from 80. Amit Tandon, Founder & MD of IiAS, says corporate governance standards are much higher in India than in many other jurisdictions. “Investor expectations have also gone up. This is reflected in our corporate governance scorecard... Our experience is that larger companies by and large have higher standards and the smaller, promoter-driven ones face relatively more governance challenges,” he says.

With a number of measures taken by the government and markets regulator, the Securities and Exchange Board of India (Sebi), over the years as well as higher participation by investors, experts believe there has been an improvement in companies following corporate governance norms. Shriram Subramanian, Founder & MD of proxy advisory firm InGovern Research Services, says there has been a significant improvement in corporate governance practices by companies in the past six to seven years with measures including the Companies Act, 2013, and amendments. “Scrutiny by shareholders is also very high and companies have realised that they cannot get away with bad practices any more,” he says.

Pavan Vijay, Founder of advisory, consulting and law firm Corporate Professionals, concurs that corporate governance has become a more prominent focus because of regulatory changes and increased awareness. “While some companies have made notable improvements, challenges still exist in ensuring uniform adherence to best practices,” he says. Some companies have improved their reporting practices, but more can be done to enhance transparency and accountability, he adds.



“Promoters should not be able to vote on their own salary. As a general rule, compensation levels should be related to the performance of the company—this link is often broken”

AMIT TANDON
FOUNDER & MD,
IiAS



“While some companies have made notable improvements, challenges still exist... Some have improved their reporting practices, but more can be done”

PAVAN VIJAY
FOUNDER, CORPORATE
PROFESSIONALS

THE COMPANIES ACT, 2013, has laid out a formal structure for corporate governance in terms of disclosures, filling up of vacancies and periodic holding of board meetings. Sebi, too, has focussed on stricter disclosures for listed entities such as in the area of related-party transactions while the Reserve Bank of India and Insurance Regulatory and Development Authority of India (Irdai) have been keeping a hawk eye on issues in their respective sectors.

A striking aspect has been the rise of shareholder interventions and that has made companies more responsible in their dealings. “Over the years, engagement by institutional shareholders with their investee companies has increased,” says Tandon of IiAS, adding that this is a sign of the market matur-

ing. Institutional investors made up 83.57 per cent of the shareholder vote-share in Nifty 500 companies in 2022, marginally more than the 82.26 per cent in 2021, says an IiAS study on voting data and outcomes.

But many issues are still work in progress, while newer focus areas are emerging as businesses evolve. For instance, start-ups continue to face their own set of problems amidst their thirst for higher growth. Then, companies in traditional sectors still have to work out issues around succession planning, especially in promoter-driven firms, compensation of top officials as well as board composition, with reference to women directors.

“There is no one silver bullet and new areas of change are evolving, such as disclosures for ESG. This is also the first year when compa-